A JOURNEY'S END

Kishore Biyani's business trajectory—from launching an apparel brand to becoming an icon of organised retail to losing grip of his business empire—has not always been smooth

1987 | Biyani gets into apparel business by launching the Manz Wear brand, later renamed Pantaloons

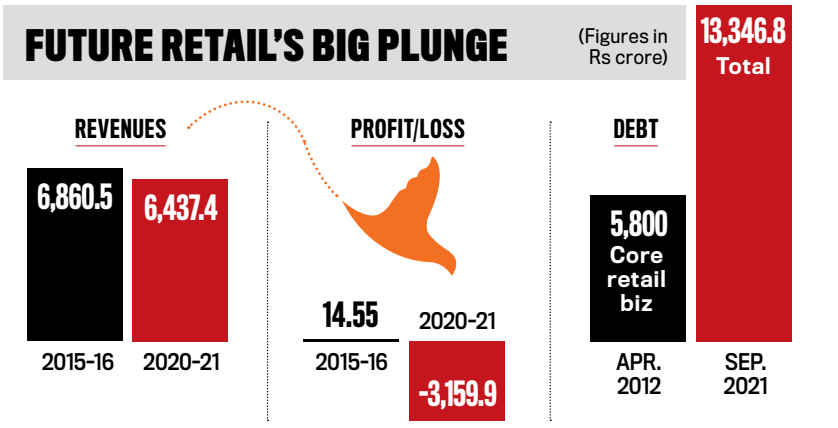
1992 | Lists Pantaloon Retail on the stock market

2001 | Plans diversification, sets up Big Bazaar grocery stores



FUTURE RETAIL'S BIG PLUNGE

(Figures in Rs crore)



the agreement. Amazon challenged the Future-Reliance deal in the Singapore International Arbitration Centre (SIAC), arguing that it violated this right-of-first-refusal agreement and a non-compete clause it had signed with the Future Group in 2019. In October 2020, a single bench of the Court of the SIAC barred Future Retail from taking any step to sell its assets to another party. On February 2 this year, a single bench of the Delhi High Court ordered a freeze on the Future-Reliance deal, but on February 8, a two-judge bench of the court stayed the order of the single bench. In April, the Supreme Court disposed of the case and allowed arbitration proceedings before SIAC between Amazon and Future Retail. The top court also transferred Amazon's application relating to restraining Future Retail from alienating its assets to the Delhi High Court. The labyrinthian legal proceedings continue. In June, the National Company Law Appellate Tribunal, hearing a related case, upheld an earlier ruling by the National Company Law Tribunal (NCLT) that Amazon did not make full disclosure about its investments in Future Coupons and ordered the e-tailer to clear the Rs 200 crore penalty imposed by the Competition Commission of India (CCI).

In February, there was an interesting twist to the Future Retail saga. In what was seen as a backdoor attempt by Reliance Retail to own a part of Future Retail, even while the case with Amazon was in the courts, the former took over the real estate lease agreements of at least 400 Big Bazaar stores where Future Group defaulted on payment for renewing the lease. Industry sources say that the leases were shifted from Future Retail to Reliance Retail because the former said it could not pay for keeping these stores operational. These stores will be rebranded Reliance Retail and media reports said that the plan was to re-employ Future Retail staff working at these locations.

Experts cite a combination of factors that led to the fall of Future Retail. "No doubt, Biyani was a pioneer, but he scaled up frantically," says Harish H.V., a managing partner with ECube Investment Advisors, a consultancy. Unlike start-ups, which rely only on equity for funding, Biyani had to depend primarily on debt since the market was not mature enough for the kind of equity needed to expand businesses then, he says. "Biyani ended up borrowing heavily. Maybe he became too ambitious and expanded fast into other areas like movie-making. Also, he was a bit unclear as to how to leverage e-commerce," adds Harish. The last straw was when he got unwittingly caught between the might of Reliance and Amazon, which many think was the fire that stoked the litigation between Future Retail and the US e-tailer.

BEGINNING OF THE END

Going into insolvency is not rare in the Indian context, and several entities, including Essar Steel and ABG Shipyard, have gone through the process. The procedure, where a resolution professional (RP) takes control of the assets and finances of the defaulting company and tries to find a buyer for the firm through auctions, ensures two things. One, the lenders (banks and financial institutions) to the firm can get back part of the money owed to them, albeit after a 'haircut' or reduction in the actual money owed. Second, the company gets a new lease of life under a new buyer.